Valuation App — User Guide

Oct 29, 2026 · @Adnan Altimeemy

Introduction

The app estimates the intrinsic (fair) value of any listed company and compares it with today's share price, so you can see at a glance whether a stock looks undervalued or overvalued.

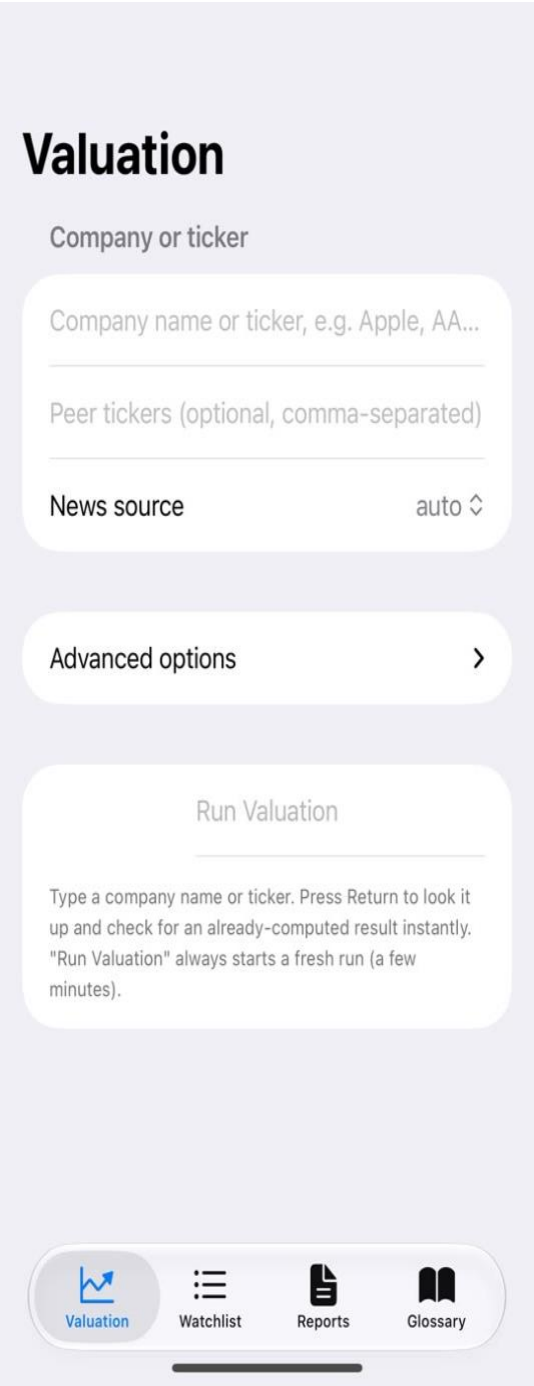
It blends several valuation methods into one figure, adds a next-day price forecast, and produces a full written report. All calculations run on a server, so you need an internet connection.

The app has four tabs along the bottom of the screen:

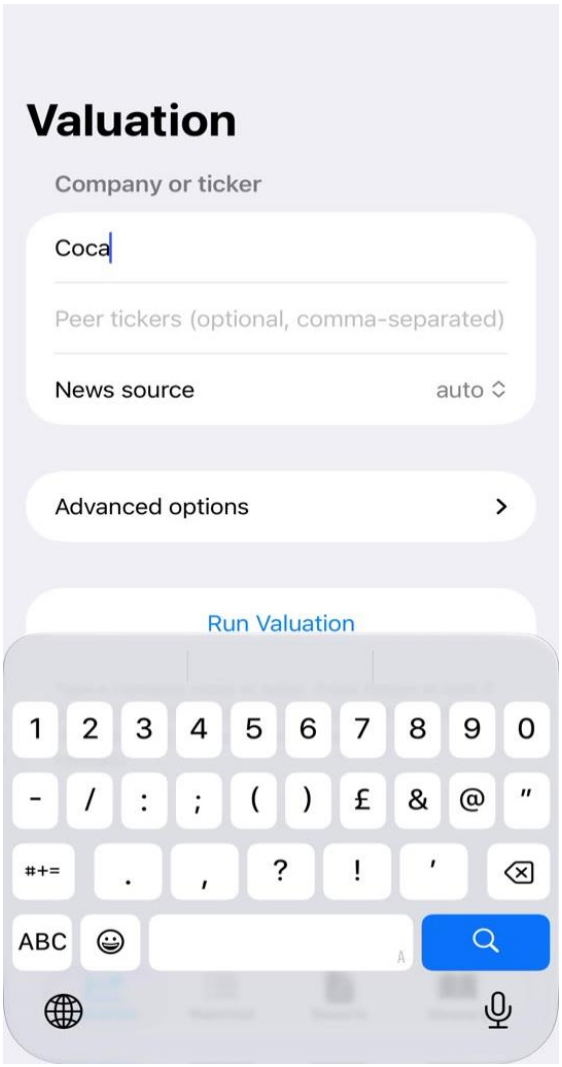
Tab	What it is for
Valuation	Search for a company and run a valuation
Watchlist	Keep track of companies you follow
Reports	Open, share or delete full valuation reports
Glossary	Plain-English explanations of every term and method

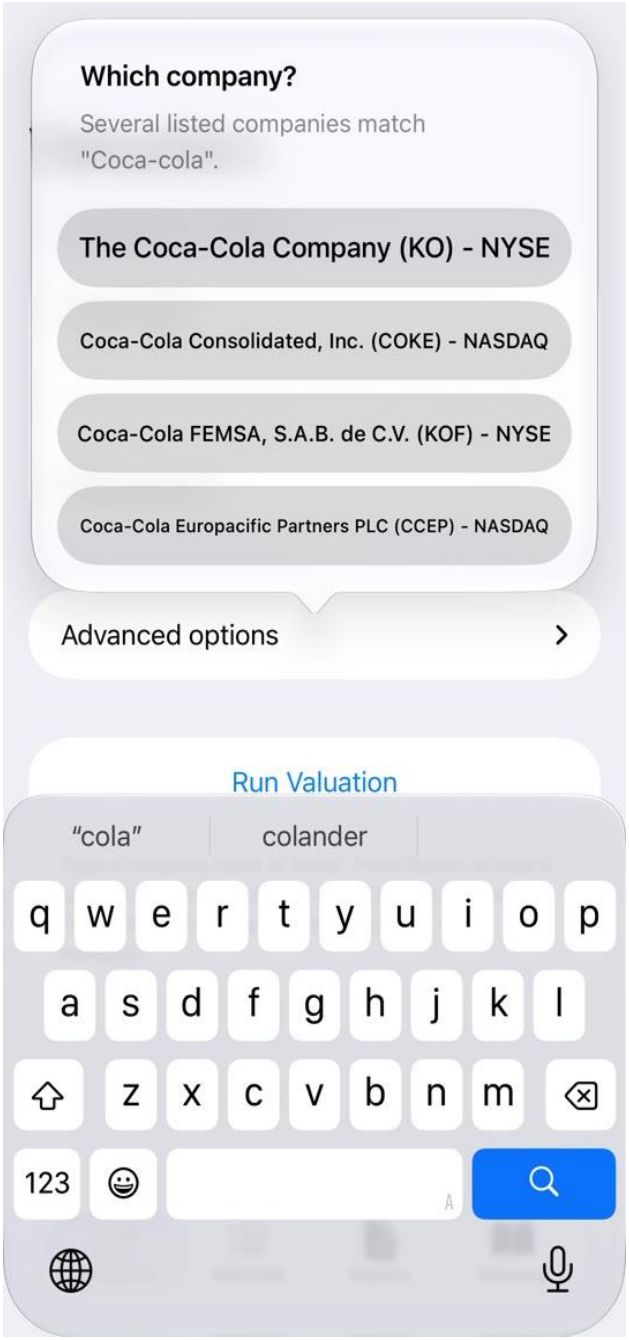
Running a valuation

A valuation takes four steps from the Valuation tab: enter the company, confirm the match, run it, and wait a few seconds for the result.



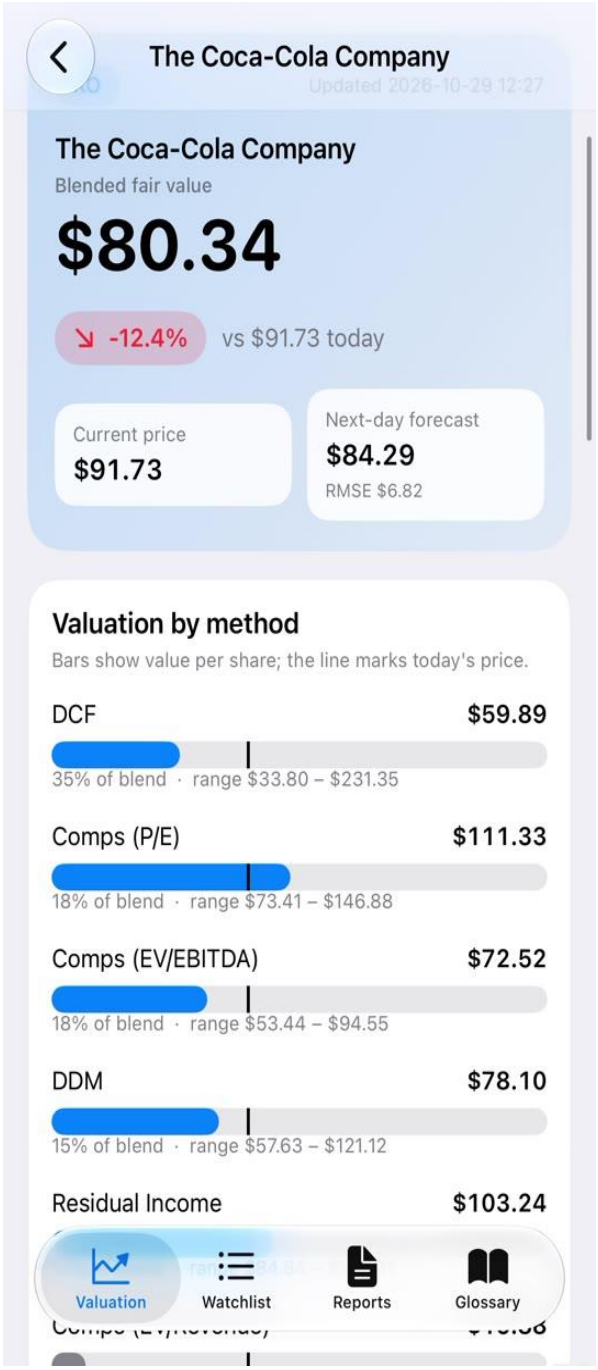
1. **Open the Valuation tab.** It is the first tab at the bottom of the screen.
2. **Enter the company.** Type the company name or its ticker symbol (for example, *Coca-Cola* or *KO*) in the **Company or ticker** field, then press Return.
    - **Peer tickers** (optional): enter comma-separated tickers of comparable companies to control the peer group used for the comparables methods. Leave it blank to let the app choose.
    - **News source**: leave on *auto* unless you need a specific source.
    - **Advanced options**: further settings for experienced users. The defaults suit most valuations.
3. **Choose the correct company.** If several listed companies match your search, a **Which company?** list appears. Tap the one you mean, checking the ticker and exchange (for example, *The Coca-Cola Company (KO) – NYSE*).
4. **Run the valuation.** Pressing Return checks for a result that has already been computed and shows it instantly. Tap **Run Valuation** to force a fresh calculation; this can take from a few seconds up to a few minutes.


Valuation
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Coca
Peer tickers (optional, comma-separated)
News source
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Advanced options
Run Valuation
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Reading the results

The results screen leads with the **blended fair value** and how far today's price sits above or below it; scroll down for the detail behind that figure.



Summary card

Item	Meaning
Ticker and update time	The company's ticker (e.g. KO) and when the valuation was calculated
Blended fair value	The app's estimate of fair value per share, a weighted average of several methods
Percentage badge	Gap between fair value and today's price. Red and pointing down = price is above fair value (overvalued); green = below (undervalued)

Item	Meaning
Current price	The latest market price per share
Next-day forecast	A short-term neural-network (LSTM) prediction of the next closing price. **RMSE** shows its typical error in testing

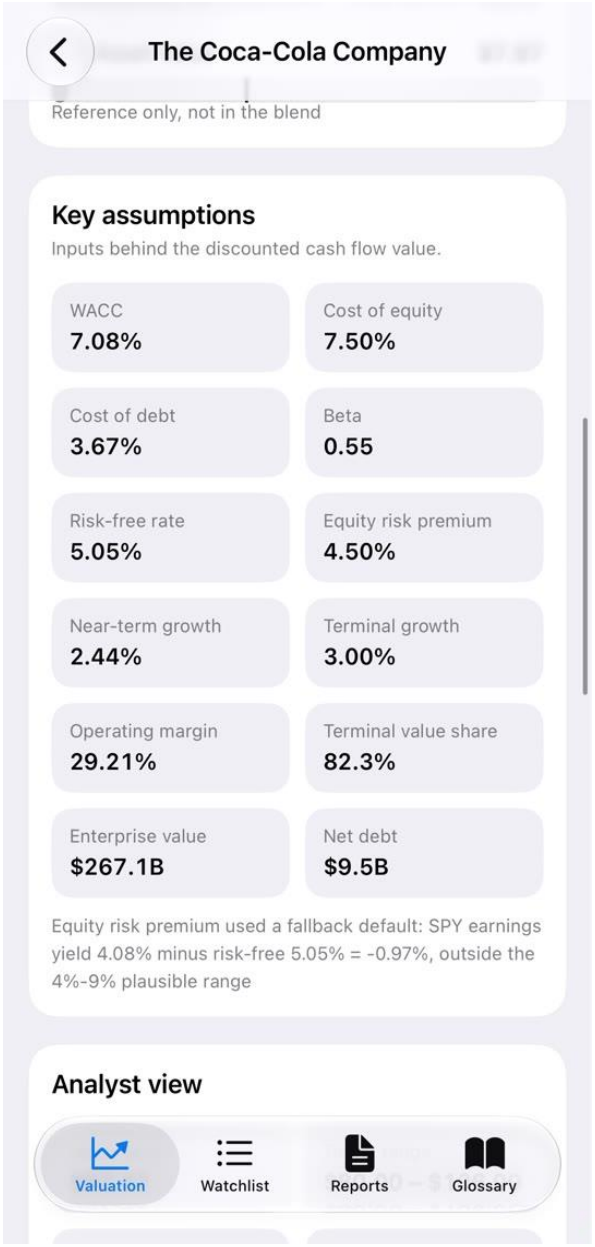
Valuation by method

Each method has its own bar showing value per share. The vertical line marks today's price, so a bar ending left of the line means that method values the shares below the current price.

Under each bar you will see the method's **weight in the blend** and its **range** of plausible values. Methods marked *Reference only, not in the blend* are shown for comparison but do not affect the blended fair value.

Key assumptions

This panel lists the inputs behind the discounted cash flow (DCF) value: WACC, cost of equity, cost of debt, beta, risk-free rate, equity risk premium, near-term and terminal growth, operating margin, terminal value share, enterprise value and net debt. A note beneath explains any input where the app has used a fallback default.

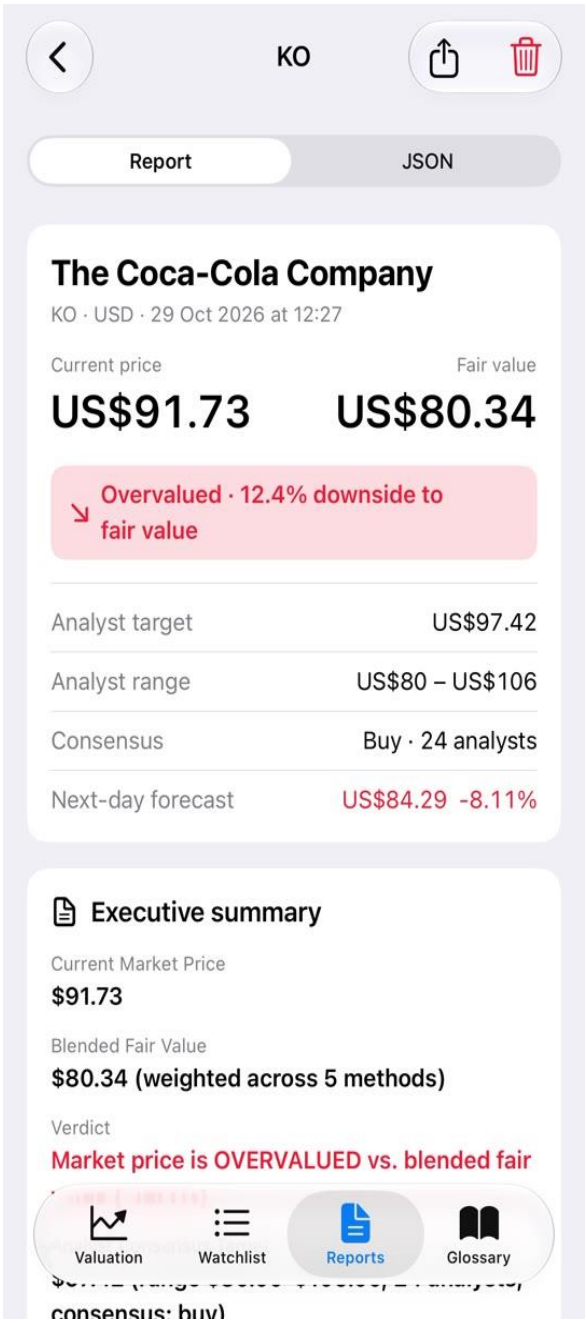


Further down, **Analyst view** shows the market consensus for comparison. To see everything in one place, open the full report from the **Reports** tab.

The full report

The full report gathers the valuation, forecast, simulations and balance-sheet analysis into one scrollable page. Open it from the **Reports** tab.

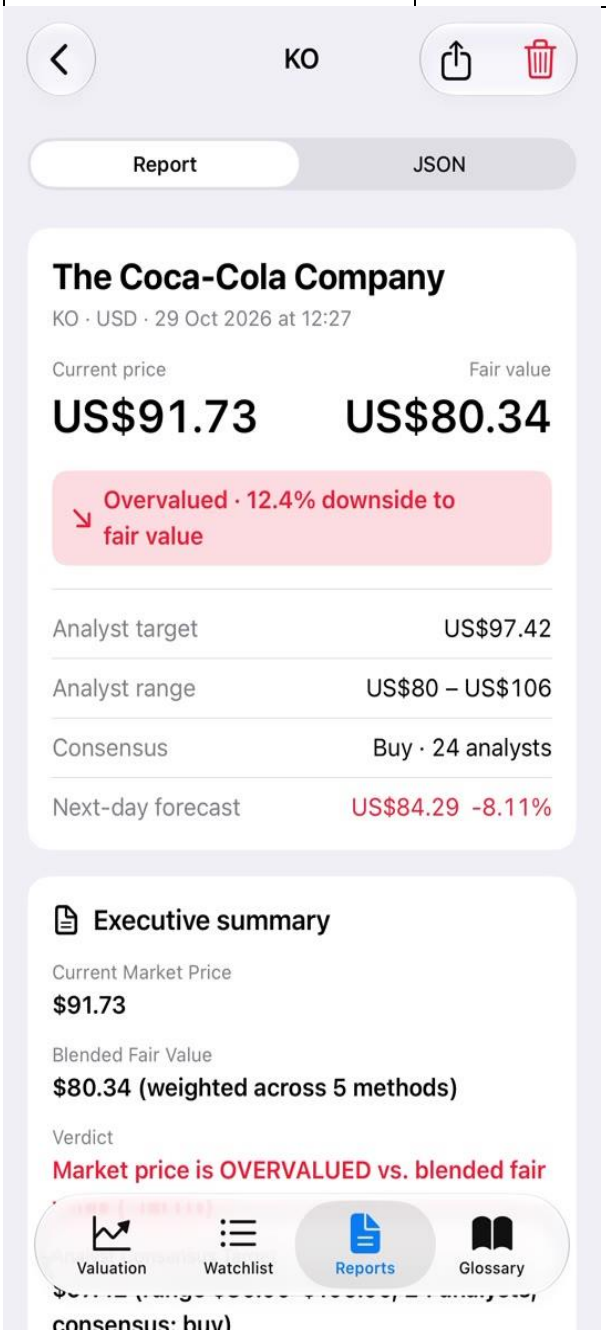
The buttons at the top let you **share** the report (box with arrow) or **delete** it (bin). The **Report / JSON** switch shows the same results as raw data, which is useful if you want to import them into a spreadsheet or another tool.

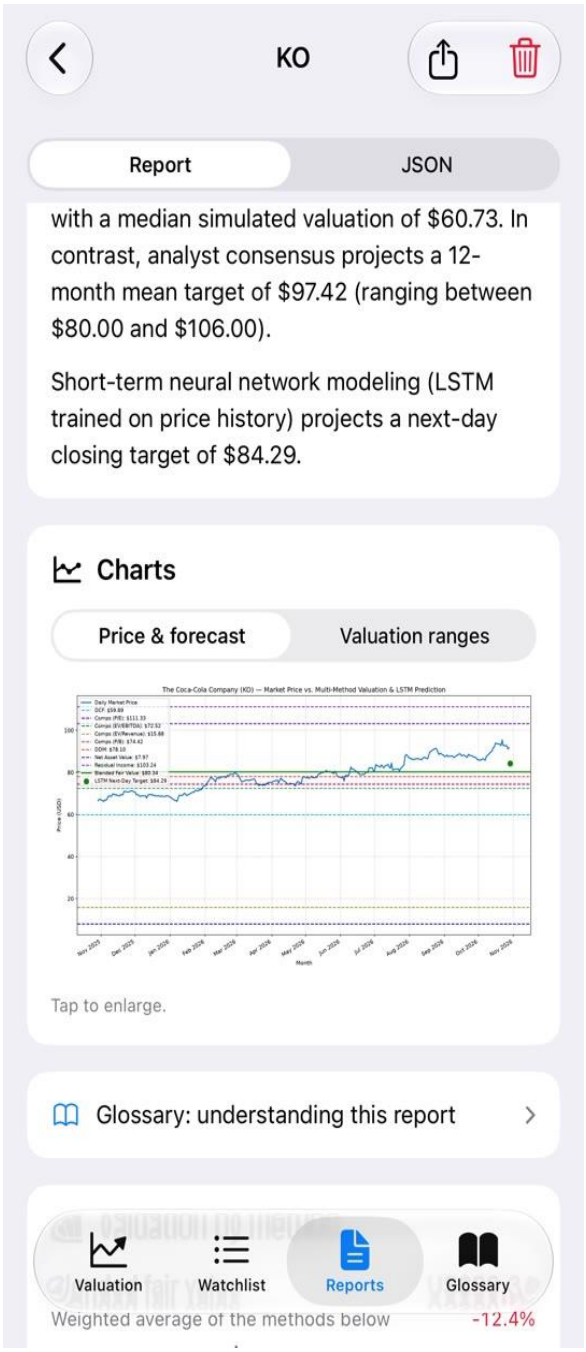


The report is arranged in the following sections, from top to bottom:

Section	What it shows
Header	Current price, fair value, the verdict (e.g. *Overvalued · 12.4% downside to fair value*), analyst target, analyst range, consensus rating and next-day forecast
Executive summary	Key figures restated, followed by a written analysis of what they mean
Charts	**Price & forecast**: the share price over the past year with each method's value and the forecast drawn as lines. **Valuation ranges**: the spread of values from each method. Tap a chart to enlarge it

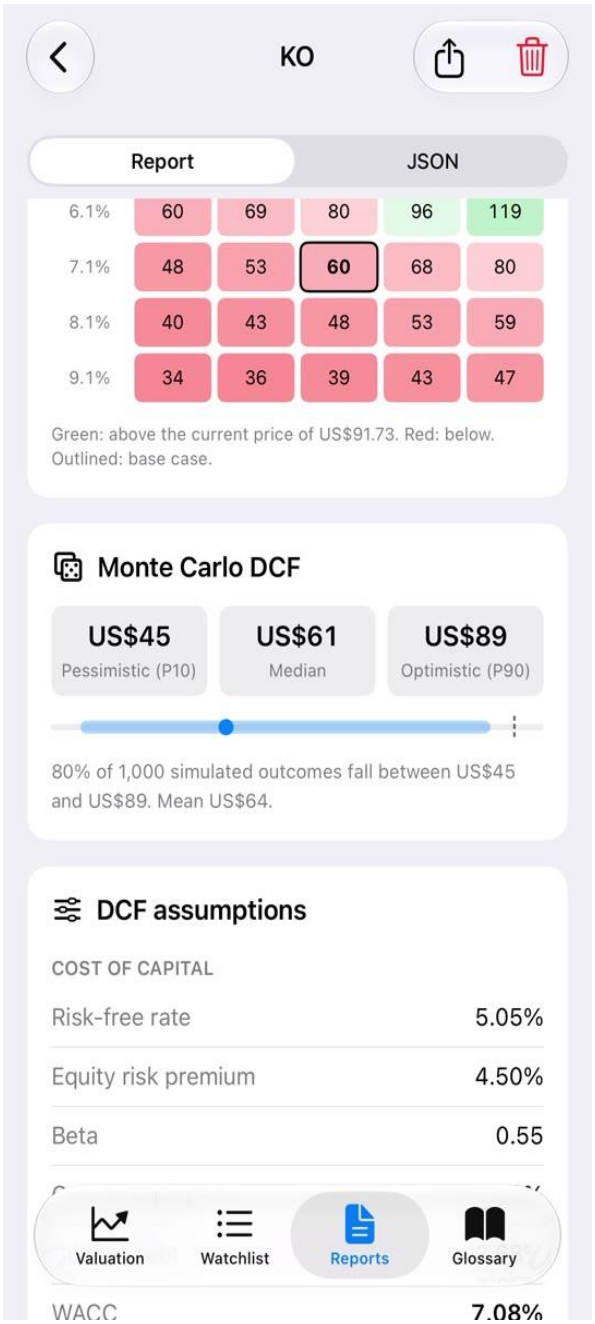
Section	What it shows
Valuation by method	Each method's value, weight in the blend, range, and difference from today's price
Monte Carlo DCF	The spread of 1,000 simulated DCF valuations, with pessimistic (P10), median and optimistic (P90) values
Sensitivity table	DCF value per share for different combinations of discount rate (WACC) and growth. Green cells are above today's price, red below; the outlined cell is the base case
DCF assumptions	Cost of capital and growth inputs used
Balance sheet health	Liquidity, leverage and debt-service ratios, each explained in plain English





Understanding the Monte Carlo DCF

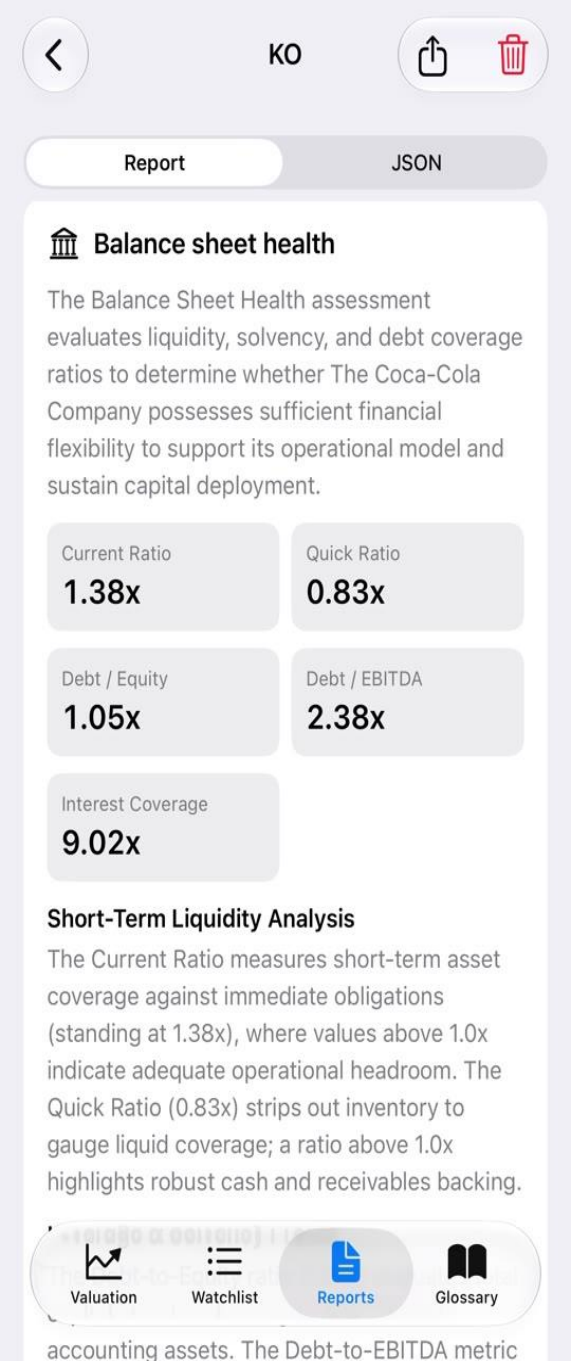
A single DCF depends heavily on a few assumptions. The app therefore runs the DCF **1,000 times**, varying interest rates, growth and other inputs each time. The result is a range rather than a single number: 80% of outcomes fall between the P10 and P90 values, and the median is the middle outcome. A narrow range means the valuation is less sensitive to the assumptions.



Balance sheet health

Ratio	What it measures	Rule of thumb
Current ratio	Short-term assets against short-term obligations	Above 1.0x suggests adequate headroom
Quick ratio	As above, excluding inventory	Above 1.0x indicates strong cash and receivables backing
Debt / equity	Total debt relative to net accounting assets	Lower means less reliance on borrowing
Debt / EBITDA	Total debt against core operating earnings	Lower means debt could be repaid faster from earnings

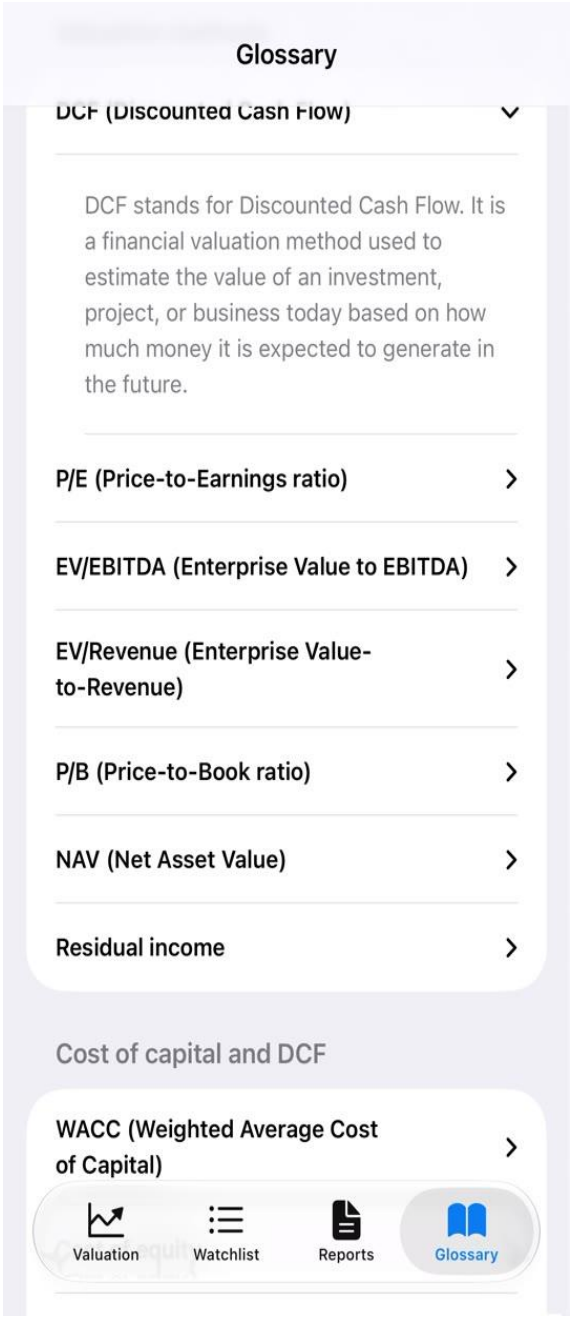
Ratio	What it measures	Rule of thumb
Interest coverage	Operating profit (EBIT) against interest costs	Well above 3.0x signals low risk of distress



At any point, tap **Glossary: understanding this report** for an explanation of how to read each section.

Using the Glossary

The Glossary tab explains every method and financial term the app uses; tap any entry to expand its explanation.



Entries are grouped by topic. The valuation methods are:

Method	In brief
DCF (Discounted Cash Flow)	Values a business today from the cash it is expected to generate in future
P/E (Price-to-Earnings)	Compares the share price with earnings per share, relative to similar companies
EV/EBITDA	Compares the whole business's value with its operating earnings, relative to peers
EV/Revenue	Compares the whole business's value with its sales

Method	In brief
P/B (Price-to-Book)	Compares the share price with the company's net assets per share
NAV (Net Asset Value)	Values the company on its assets less its liabilities
Residual income	Values the company on profits earned above its cost of equity
DDM (Dividend Discount Model)	Values the shares from the dividends they are expected to pay

The **Cost of capital and DCF** group explains the inputs shown under Key assumptions, such as WACC (Weighted Average Cost of Capital), beta and terminal growth. You can also reach the relevant glossary entries directly from a report via the **Glossary: understanding this report** link.

Worked example: Coca-Cola

On 29 October 2026 the app valued The Coca-Cola Company (KO) at **US$80.34** per share against a market price of **US$91.73**, so it judged the shares **overvalued by 12.4%**.

How the blended value was built

Method	Value per share	Weight in blend	vs today's price
DCF	US$59.89	35%	−34.7%
Comps (P/E)	US$111.33	17.5%	+21.4%
Comps (EV/EBITDA)	US$72.52	17.5%	−20.9%
DDM	US$78.10	15%	−14.9%
Residual income	US$103.24	15%	+12.5%
Blended fair value	**US$80.34**	**100%**	**−12.4%**
EV/Revenue	US$15.88	Reference only	—

The methods disagree widely, from US$59.89 to US$111.33. That is normal: earnings multiples reward Coca-Cola's strong brand and steady profits, while the DCF is held back by modest growth assumptions (2.44% near-term, 3.00% terminal).

Other signals in the report

- **Monte Carlo DCF:** 80% of 1,000 simulations fell between US$45.06 and US$89.11 (median US$60.73). Even the optimistic end is below today's price.
- **Analysts:** a consensus target of US$97.42 (range US$80–US$106) and a *Buy* rating from 24 analysts, which is more positive than the app's model.
- **Next-day forecast:** US$84.29 (−8.11%), with a typical test error (RMSE) of US$6.82.
- **Balance sheet:** current ratio 1.38x, quick ratio 0.83x, debt/equity 1.05x, debt/EBITDA 2.38x and interest coverage 9.02x, which together indicate a financially sound company.

Interpreting the result

The model suggests the shares are priced above their estimated intrinsic value. However, Coca-Cola is a very well-established company with a robust balance sheet, so some long-term investors may accept paying a premium for that stability. Where the app's view and the analyst consensus differ, as here, it is worth reading the executive summary and key assumptions to understand why.

Tips, limitations and disclaimer

The app gives a structured estimate, not a certainty; use it alongside your own research.

Tips

- Use the ticker symbol where you know it, as it avoids the company-selection step.
- Press Return to reuse a recent result instantly; tap **Run Valuation** only when you need fresh figures.
- Add your own **peer tickers** if the default comparison group does not suit the company.
- Check the **Key assumptions** note: it flags any input where the app has fallen back to a default.
- Compare the blended value with the Monte Carlo range. A price outside that range is a stronger signal than a small gap to the blended figure.
- Use **Report / JSON** and the share button to export results for your records.

Limitations

- Valuations depend on published financial data and on assumptions about growth and interest rates; small changes can move the result considerably.
- Methods suit some companies better than others. For example, dividend-based models are less meaningful for companies that pay little or no dividend.
- The next-day forecast is a statistical estimate based on price history and should not be relied on for trading decisions.
- A calculation needs an internet connection and may take up to a few minutes.

Disclaimer

The app and this guide are for information and educational purposes only. They do not constitute financial advice or a recommendation to buy or sell any security. Investment values can fall as well as rise; consider seeking independent financial advice before making investment decisions.